## Payment of Dividend to the Government

The Reserve Bank is not a commercial institution, nor is profit-making one of its objectives. Nevertheless, the Reserve Bank generates a ‘surplus profit’ which, as per statute, is transferred to the government. This is roughly the pattern across most countries in the world which explains why governments have a stake in how efficiently and profitably central banks manage their finances.

The main source of income to the Reserve Bank is the interest it earns on its holdings of government securities, its overnight lending to commercial banks and the returns on its foreign currency assets. Its main spending commitments are the costs of printing currency, agency commission paid to commercial banks acting on its behalf for government transactions, and employee cost.

The Reserve Bank typically makes a ‘profit’ from its operations, and from this profit, allocations are made to two reserve funds. The first reserve fund is meant mainly to absorb losses from its operations in money, securities and forex markets, and to absorb shocks arising out of variations in exchange rates and gold prices. The second reserve fund is maintained for meeting internal capital expenditure and making investments in the bank’s subsidiaries and associated institutions. The ‘surplus profit’ after allocation to the reserves is transferred to the government. For a cash-strapped government, the surplus transfer from the Reserve Bank, typically of the order of 0.5 per cent of GDP, is a significant source of revenue in managing its fiscal responsibility mandate. For example, during 2014–15, the Reserve Bank transferred a surplus of ₹660 billion, equivalent to 0.6 per cent of GDP.

In the last few weeks before the budget, it is common practice for the finance ministry to shore up revenues by pressuring public sector enterprises to raise dividend payments. The Reserve Bank too comes under pressure to scale down its allocations to the reserve funds so as to leave a higher ‘surplus profit’ for transfer to the government. Ironically, I was on both sides of this tug of war. As finance secretary, I pushed the Reserve